

Notes: DellaVigna & Kim (RES, 2026)

Policy Diffusion and Polarization across U.S. States

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1 Big picture

- **Question.** How do U.S. state policies originate and diffuse across states, and how has the diffusion process changed over the past seven decades?
- **Data contribution.** The paper builds a large state-policy adoption data set covering 602 policies, based primarily on the State Policy Innovation and Diffusion database, supplemented with policies studied in NBER working papers.
- **Main innovation result.** Traditional proxies for state capacity, such as population and income, do not strongly predict which states innovate new policies. Since 1990, however, political leaning predicts partisan innovation: Republican-leaning states are more likely to introduce right-leaning policies, and Democratic-leaning states are more likely to introduce left-leaning policies.
- **Main diffusion result before 2000.** From the 1950s through the 1990s, geographic proximity is the most stable predictor of adoption. States are more likely to adopt a law if nearby states have already adopted it.
- **Main diffusion result after 2000.** Since 2000, political alignment becomes the strongest predictor. Adoption by states with the same party control of state government becomes more predictive than geography, demographics, or economic similarity.
- **Speed result.** Policy diffusion accelerates in the 2000s and 2010s, especially for policies reaching moderate adoption counts. The acceleration is not simply more laws spreading to nearly all states; it is more laws reaching 11–20 adopters quickly.
- **Mechanism evidence.** Voter preferences, migration flows, geographic proximity, and demographics help explain earlier diffusion patterns. They reduce the estimated role of geography and vote-share, but they do not absorb the recent role of party control.
- **Event-study evidence.** Since 1990, switches to unified state government raise the probability of adopting policies ideologically aligned with the incoming party. This effect is absent before 1990.
- **Economic takeaway.** U.S. state policy diffusion has shifted from a laboratory-of-democracy pattern, where geography and local similarity mattered most, toward a partisan-diffusion pattern, where party control strongly determines adoption.
- **Welfare implication.** The recent pattern may weaken the match between state policies and local voter preferences, because adoption increasingly follows national party identity rather than local need or local information.

2 Data and measurement

2.1 Main policy data

- The primary source is the State Policy Innovation and Diffusion database, which records the year each state adopts hundreds of policies.
- The authors supplement these data with a new sample of U.S. state policies analysed in economics working papers.
- The combined sample is restricted to policies that fall into one of 20 keyword categories and are observed across the sample horizon.
- The final main sample contains 602 policies adopted from the 1950s to 2020.
- Alaska, Hawaii, and Washington, D.C. are excluded from most analyses.

Interpretation: The paper uses breadth rather than depth. It does not know the full legal text or welfare effect of every policy, but it has enough coverage to characterize aggregate diffusion patterns across policy areas and decades.

2.2 Policy categories

The paper groups policies into 20 categories using keywords in policy descriptions. Examples include education, health, crime, intoxication, legal, property, corporate, employment, discrimination, environment, children, weapons, election, tax, transportation, benefits, consumer protection, sex offender, and wills/trusts.

Interpretation: The category construction matters because the paper wants to rule out a composition story. If the sample after 2000 were dominated by inherently polarizing policy areas, then the rise of party-based diffusion could be mechanical. The paper therefore checks patterns within categories.

2.3 Innovation variables

For each policy, a state is an innovator if it adopts the policy in the first year that the policy appears in the sample. The innovation outcome is the number of policies state i innovates in year t .

Interpretation: This is a broad measure of policy origination. It does not capture who drafted the law or which interest group lobbied for it, but it captures which state first implements the policy.

2.4 Diffusion variables

For each policy q , state i , and year t , the adoption outcome is

$$Y_{iqt} = 1\{\text{state } i \text{ adopts policy } q \text{ in year } t\}.$$

The diffusion regressors measure whether states similar to i have already adopted policy q .

The dimensions of similarity are:

- demographic and economic similarity;
- geographic distance;
- similarity in Republican presidential vote-share;
- similarity in state government party control;
- migration flows;
- voter policy preferences from ANES, GSS, and public-opinion indexes.

Interpretation: The key comparison is not whether one determinant matters, but which determinant matters most in each decade. This is why the paper scales variables into comparable “closest third” measures.

2.5 Partisan classification of policies

For some analyses, the paper classifies policies as right-leaning, left-leaning, or neutral using the average demeaned Republican vote-share of adopting states. Policies adopted primarily by Republican-leaning states are coded right-leaning; policies adopted primarily by Democratic-leaning states are coded left-leaning.

Interpretation: This classification avoids relying only on subjective coding of ideology. A law’s ideological leaning is inferred from the adoption pattern itself.

2.6 Case-study data

The paper uses Medicaid expansion, initial Medicaid adoption, and the Food Stamp Program as case studies.

Interpretation: These cases contrast modern partisan adoption with earlier public-benefit diffusion. The same broad type of policy, public benefits, diffuses politically in the 2010s but not in the 1960s.

3 Models and empirical specifications

3.1 Innovation regression

At the state-year level, the paper estimates regressions of the form

$$Innovations_{it} = \alpha_t + \beta' X_{it} + \varepsilon_{it},$$

where $Innovations_{it}$ is the number of policies innovated by state i in year t , and X_{it} includes income, population, vote-share, unified government, and other state characteristics.

Interpretation: This specification asks whether richer, larger, more professional, or more partisan states originate more policies. Year fixed effects absorb national changes in the overall rate of innovation.

3.2 Static clustering: Geary's C

For each policy, the authors compute a correlation measure across adopting states using a transformed Geary's C statistic. A high value means that adopting states are close to one another along a given dimension, such as geography or Republican vote-share.

Interpretation: The static exercise asks whether early adopters are clustered. If the first 10 adopters are geographically close, diffusion may reflect learning, competition, common preferences, or local information. If they are politically close, diffusion may reflect ideology or party networks.

3.3 Dynamic hazard model

The main diffusion model is a logit hazard specification:

$$\Pr(Y_{igt} = 1) = \Lambda \left(\alpha_{q,d} + \sum_k \beta_{k,d} Adoption_{igt}^k + \Gamma_d X_{it} \right),$$

where d indexes decade, $\alpha_{q,d}$ is a policy-by-decade baseline hazard, and $Adoption_{igt}^k$ is the share of already-adopting states that are close to state i along dimension k .

Interpretation: The coefficient $\beta_{k,d}$ answers: conditional on policy maturity and state covariates, is state i more likely to adopt when similar states have already adopted? Comparing $\beta_{k,d}$ across decades shows how the diffusion channel changes over time.

3.4 Party-control interaction

For party control, the paper distinguishes unified and divided governments. Adoption by states with the same party control is interacted with an indicator for divided government:

$$Adoption_{igt}^{Party} + Adoption_{igt}^{Party} \times DividedGov_{it}.$$

Interpretation: The strongest recent effect is for unified governments. This supports a party-discipline interpretation rather than a generic correlation among politically similar states.

3.5 Voter preference and migration extensions

The model is expanded by adding adoption among states close in:

- migration flows;
- ANES/GSS policy preferences;
- public-opinion indexes.

Interpretation: These controls test whether political diffusion is only a proxy for voters wanting similar policies or for interstate information flows. The fact that party control remains strong indicates a residual party-channel component.

3.6 Event study of unified government

The causal event-study specification is conceptually

$$Y_{iqt} = \sum_{d=-4}^4 1\{t-e_i = d\} \left(\delta_d^{aligned} Aligned_q + \delta_d^{opposing} Opposing_q + \delta_d^{neutral} Neutral_q \right) + \Pi X_{it} + \alpha_i + \gamma_{qt} + \varepsilon_{iqt},$$

where e_i is the year state i switches to unified state government.

Interpretation: The event study asks whether a political regime switch changes the adoption of ideologically aligned policies relative to opposing or neutral policies. This is the paper’s most causal-looking evidence for party influence.

4 Identification and empirical design

4.1 What is descriptive and what is causal

Most estimates are descriptive diffusion regressions. They identify strong predictive patterns, not causal peer effects. Adoption by nearby or politically similar states could reflect learning, competition, common shocks, shared lobbying, common voter preferences, or party networks.

Interpretation: The paper is careful not to claim that one state’s adoption causally causes another state’s adoption in the main hazard model.

4.2 Why the descriptive evidence still matters

- It documents a large historical shift in policy diffusion.
- It quantifies the relative importance of geography, demographics, voter preferences, and party control.
- It helps researchers anticipate which states are likely to adopt a policy, which matters for difference-in-differences designs.
- It helps interpret whether policy adoption is more likely driven by local need or political alignment.

4.3 Composition controls

The paper restricts the sample to 20 keyword categories and reweights policies to keep the composition of categories stable across time. It also estimates within-category models.

Interpretation: This reduces the concern that recent polarization is driven only by a shift toward more controversial policy topics.

4.4 Event-study credibility

The event-study analysis uses switches to unified party control and compares ideologically aligned, opposing, and neutral policies. Policy-year fixed effects absorb the overall stage of policy diffusion, and state fixed effects absorb persistent state adoption tendencies.

Interpretation: This design is more convincing for party influence than the hazard regressions because it exploits within-state political regime changes.

4.5 Main limitations

- The data do not reveal the full legal text, law quality, or interest-group lobbying behind each policy.
- The hazard estimates do not separate learning from correlated preferences or common shocks.
- The effectiveness of most policies is not observed.
- Adoption timing may be affected by national events, advocacy groups, court decisions, or federal incentives.
- The ideological classification of laws is based on adopter vote-share, which is useful but not a complete measure of substantive policy content.

5 Tables and figures

5.1 Figures 1–2: examples and welfare-program case studies

Read:

- Figure 1 shows three policy diffusion patterns: a relatively idiosyncratic private-law policy, a politically aligned Medicaid expansion, and a geographically clustered prescription-drug monitoring policy.
- Figure 2 shows that modern ACA Medicaid expansion adoption is strongly negatively related to Republican vote-share, even though Republican states often had more people who would benefit from expansion.
- The 1960s initial Medicaid adoption and the Food Stamp Program do not show the same partisan timing pattern.

Interpretation: The comparison is powerful because it holds the broad policy domain constant: public benefits. The recent Medicaid expansion is not simply a redistributive program with natural partisan sorting; earlier major benefit expansions did not follow state-level partisanship in the same way. This motivates the full-sample claim that the role of party politics has changed over time.

Economic message: Modern policy diffusion can diverge from local need. The Medicaid case suggests that partisan alignment may dominate the local demand for a policy, creating a worse match between policy and population characteristics.

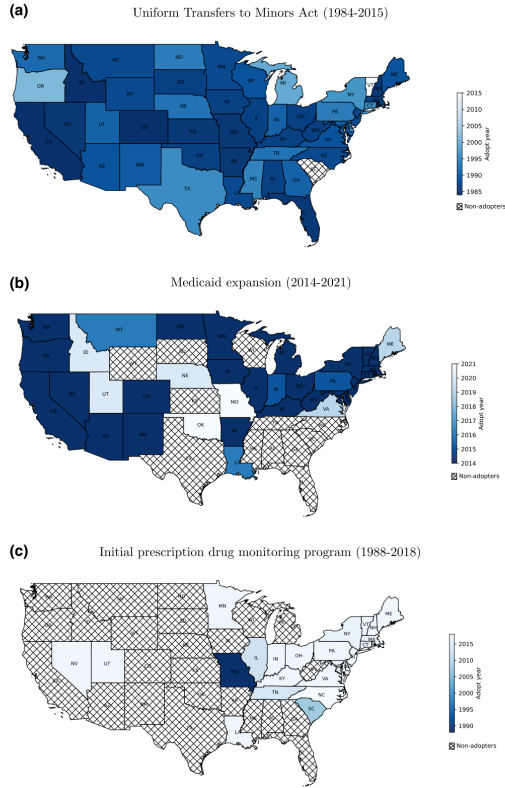


FIGURE 1
Three policy examples (a) Uniform Transfers to Minors Act (1984–2015), (b) Medicaid expansion (2014–21) and (c) Initial prescription drug monitoring program (1988–2018)

(a) Three diffusion examples

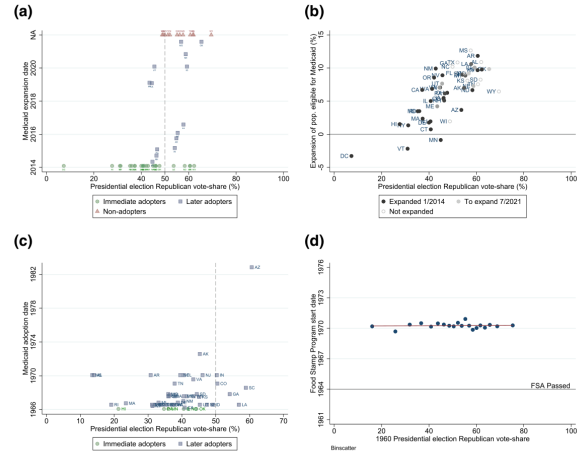


FIGURE 2
Case studies of welfare programs (a) 2014 Medicaid expansion (Affordable Care Act), (b) 2014 Medicaid expansion coverage, (c) 1960s Initial Medicaid adoption and (d) 1960–70s Food Stamp Program adoption (county-level)
Notes: For a–c, the Presidential vote-share is from the most recent election to the year of adoption, and for non-adopters in a and b, the vote-share is from the 2020 election.

(b) Medicaid and food stamp case studies

5.2 Table 1, Table 2, and Figure 3: policy sample construction

Read:

- Table 1 lists the 20 keyword categories used to organize policies and gives examples such as merit-pay laws, pill-mill laws, smoking bans, right-to-work, same-sex marriage, strict voter ID, and TANF.
- Table 2 shows that the SPID sample contains 549 policies and the NBER sample contains 53 policies, with adoption typically spanning many states.
- Figure 3 shows the number of policies in each category over time. Coverage peaks around the 2000s, and categories are not concentrated in only one decade.

Interpretation: The sample-design issue is central. A paper about polarization could mechanically find more polarization if it included only culture-war policies after 2000. The category structure and reweighting strategy aim to prevent that. Table 1 also shows that the data cover mundane administrative and legal domains, not only highly salient partisan issues.

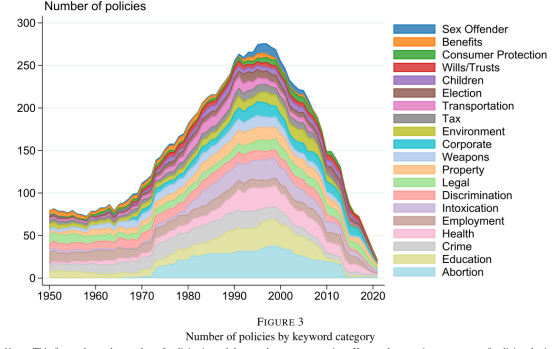
Economic message: The empirical object is broad state policy-making, not one policy area. This gives the paper its main contribution: it can compare diffusion mechanisms across many domains and many decades.

Policy area	Keywords	Example	Number of policies			
			1950–70s	1980–90s	2000–10s	
Abortion	abortion, foetal, rse, contraception, ru486	Minor abortion parental consent	23	41	42	
Education	college, education, school, tuition, student, teacher, higher ed, remedial, enrolment, exam, merit	Merit-aid programs	22	36	36	
Health	health, medical, prescription, doctor, nurse, physician, cancer, breast, treatment, screening, physician, organ, clinic, fertility, screening	Pill mill laws	11	39	29	
Crime	crime, criminal, prison, inmate, corrections, juvenile, corrections, victims, penalty, felon, convict, theft, penal, sentencing, probat, convict, detain, wanted	Probation Law	24	33	19	
Intoxication	smoking, cigarette, alcohol, drinking, tobacco, intoxication, dai, drug, beer, meth, salvi, divorcem, bac, marijuana	Smoking ban	7	28	27	
Legal	court, commission, judicial, deposition, limitation, action, legal, judgment, legislative, civil, witness, judge	Juvenile Court Law	18	19	23	
Property	property, housing, real estate, condo, rent, building, time share, development, mortgage	Building Code Adoption	13	23	22	
Corporate	business, securities, investment, transaction, trade, corporate, enterprise, companies, instrument, sales, goods, bank	Interstate bank branching laws	8	25	23	
Employment	employment, bargain, minimum wage, labour, right to work, right-to-work, etc, licens, wage, discharge, employer, leave, salary	State EITC	20	16	20	
Discrimination	discrimination, gay, racial, equal, sodomy, same-sex	Same-sex marriage	18	19	13	
Environment	environment, pollution, conservation, renewable, electricity, emission, recycling, energy, waste, forest, river, renewal, endangered, wildlife, nox	NOx cap-and-trade	11	19	18	
Children	child, minor, adoption, guardian, abuse, kinship	Kinship Care Program	8	15	14	
Weapons	gun, weapon, rifle, carry, stand your ground	Stand Your Ground laws	10	16	11	
Election	voter, election, campaign, voting, ballot, referendum, direct primary	Strict voter ID	9	12	12	
Tax	tax	Corporate income tax	11	10	11	
Transportation	transportation, seat belt, automobile, helmet, vehicle, bus, highway, seatbelt, license, rail, car	Bicycle helmet laws	9	16	7	
Benefits	welfare, afdc, dependent, disabled, blind, medicaid, retirement, medicaid, tanf, retarded	TANF	11	11	4	
Consumer Protection	credit card, credit score, creditor, contract, consumer, debt, payment, identity theft, consumption	Commonsense Consumption Acts	4	7	12	
Sex Offender	sex offender, offender	Internet Registry Of Sex Offenders	2	12	9	
Wills/Trusts	will, real estate, trust	Codifies Trust Laws	6	8	9	

(a) Policy categories

	SPID				NBER			
	Mean (SD)	Min	Median	Max	Mean (SD)	Min	Median	Max
Number of policies	549	—	—	—	53	—	—	—
First year of adoption	1977.73 (27.53)	1842	1983	2017	1986.66 (25.92)	1911	1994	2017
Last year of adoption	1998.96 (16.85)	1950	2002	2022	2006.58 (14.07)	1955	2013	2021
Number of states adopted	24.01 (15.15)	1	22	48	26.98 (14.68)	5	26	48

Notes: Policies with the last adoption before 1950 are dropped. Alaska, Hawaii, and Washington D.C. are excluded.



(b) Summary statistics and policy counts

5.3 Figure 4 and Table 3: who innovates policies?

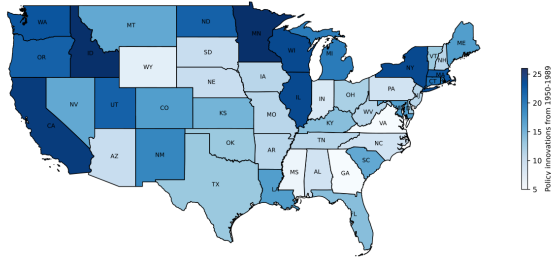
Read:

- Figure 4 maps states that introduce policies first during 1950–1989 and 1990–2020.
- California is an important innovator, but large states such as Texas and Florida are not uniformly at the top.
- Table 3 regresses the number of innovations on state economic and political characteristics.
- Population and income do not robustly predict innovation.
- Since 1990, political leaning becomes important for partisan policies: Republican-voting states are more likely to innovate right-leaning laws and less likely to innovate left-leaning laws.

Interpretation: The innovation evidence weakens a pure state-capacity interpretation. If fixed costs or administrative capacity were the dominant forces, larger and richer states should consistently innovate more. Instead, the recent pattern points to partisan sorting of policy origination.

Economic message: The rise of partisan diffusion is not only about imitation after policies exist. Since 1990, the starting points of policy innovation also become more ideologically sorted.

(a)



(b)

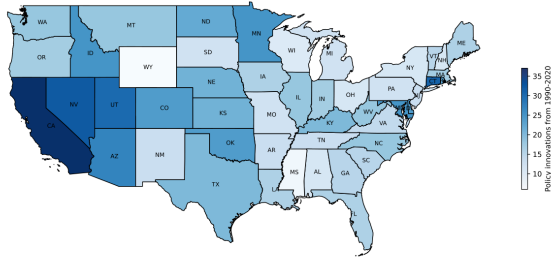


FIGURE 4

Innovating states (a) Policies innovated 1950–89 and (b) policies innovated 1990–2020

Notes: These maps show the number of policies that each state innovated (i.e. adopted in the first year that the policy enters the sample) during 1950–1989 (Figure 4a) and 1990–2020 (Figure 4b).

(a) Innovating states

Innovated during:	1950–1989				1990–2020			
	(1) All	(2) Right-leaning	(3) Left-leaning	(4) Non-partisan	(5) All	(6) Right-leaning	(7) Left-leaning	(8) Non-partisan
Dep. var. No. policies innovated × 100								
Standardized 2-party Rep. vote share	-4.09 (1.61)	0.84 (0.52)	-1.32 (0.58)	-3.61 (1.22)	3.98 (3.84)	3.06 (0.91)	-3.33 (1.13)	4.25 (3.27)
Unified Democratic government	-5.65 (3.89)	-1.38 (1.14)	1.47 (1.75)	-5.74 (3.37)	3.35 (2.52)	-0.29 (1.57)	3.13 (1.89)	2.51 (6.78)
Unified Republican government	-8.17 (4.38)	-1.66 (1.17)	-1.29 (1.17)	-5.22 (3.64)	-9.42 (5.86)	-3.29 (1.95)	0.53 (2.03)	-6.66 (4.29)
Standardized log(population)	-2.23 (2.40)	-0.46 (0.56)	-0.37 (0.59)	-1.41 (1.78)	-4.68 (3.99)	0.99 (1.05)	1.89 (2.24)	-7.56 (2.47)
Standardized log(income per capita)	2.15 (2.93)	-0.89 (1.10)	1.87 (0.83)	1.37 (1.97)	-0.73 (4.59)	-1.23 (0.87)	-0.75 (1.19)	1.34 (3.73)
Standardized urban %	9.09 (3.70)	2.24 (1.07)	2.33 (0.90)	4.51 (2.58)	14.50 (3.62)	2.26 (0.84)	3.25 (1.63)	8.98 (2.55)
Standardized agriculture employed %	7.04 (3.50)	1.53 (0.52)	2.90 (1.03)	2.61 (2.78)	3.04 (5.25)	0.75 (0.67)	2.05 (1.82)	0.24 (2.15)
Standardized manufacturing employed %	1.98 (2.26)	0.45 (0.49)	1.27 (0.82)	0.27 (1.66)	0.64 (3.07)	-0.29 (0.71)	0.07 (0.91)	0.86 (2.37)
No. policies	280	51	67	162	248	48	58	142
Average no. innovations/year	0.38	0.03	0.06	0.29	0.58	0.06	0.06	0.45
Year fixed effects	✓	✓	✓	✓	✓	✓	✓	✓
Observations	1920	1920	1920	1920	1488	1488	1488	1488
R ²	0.25	0.05	0.07	0.26	0.29	0.08	0.09	0.34

Notes: Coefficients and standard errors have been multiplied by a factor of 100. Standard errors clustered by state are shown in parentheses. The ideology of a policy is determined by the average demeaned Republican vote share among non-innovating states that eventually adopt the policy, based on the vote share in the years of adoption. The innovating states are excluded from the mean vote-share calculation each year. If the average demeaned vote share is 1% point or above, the policy is classified as right-leaning; if it is -1% point or below, as left-leaning; and if it falls between -1 and 1% points, as non-partisan. Policies adopted by fewer than five non-innovating states are categorized as non-partisan, as there are too few adopters to reliably determine ideology. Similarly, policies with more than five innovating states are also categorized as non-partisan, as excluding the innovators when demeaning vote share may lead to unreliable estimates. Independent variables have been standardized to have mean zero unit and standard deviation across states within each year, except the indicators for unified Democratic/Republican state governments.

(b) Predictors of policy innovation

5.4 Figure 5 and Table 4: static and dynamic diffusion predictors

Read:

- Figure 5 shows clustering of adopters relative to random assignment. Early adoptions are geographically clustered in earlier decades; political clustering rises sharply in recent decades.
- Table 4 estimates the logit hazard model by decade.
- Geographic closeness remains consistently predictive, with coefficients such as 0.36 in the 1970s and 0.42 in the 2010s.
- Republican vote-share similarity grows from modest earlier coefficients to 0.46 in the 2000s and 0.48 in the 2010s.
- State government partisanship becomes the strongest predictor in the 2010s, with a coefficient of 0.64 for unified governments.

Interpretation: The key table is Table 4. It shows that geography did not disappear; rather, party alignment grew large enough to overtake it. This distinction matters because it implies the new partisan channel is layered on top of older diffusion mechanisms rather than replacing every traditional mechanism.

Economic message: Federalism increasingly resembles partisan replication rather than local experimentation. The same policy is more likely to spread along party networks than only across neighbouring or demographically similar states.

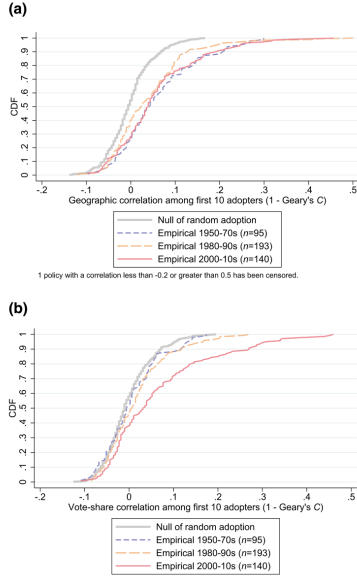


FIGURE 5
Correlation in geography and politics among adopters (random and observed) (a) Correlation in geographic distance (first 10 adopters) and (b) Correlation in Republican vote-share (first 10 adopters)
Notes: This figure plots the CDF of the 1-Geary's C statistic for policy adoptions, which measures the correlation of adoptions within a specified dimension. Geary's C is calculated by taking the weighted average of the pairwise squared differences in adoptions, where the weights are increasing in the similarity between the pair of states along the specified dimension. The weighted average is then divided by the unweighted average of the pairwise squared differences across all pairs of states. This figure uses a simple weighting scheme, in which for each state, the other states in the closest third by geographic distance (Figure 5a) or by Republican vote-share (Figure 5b) are given equal weight, and the remaining states outside the closest third are assigned zero weight. The measure is calculated in year that the policy reaches 10 adopters with ties are broken randomly. Under the null of uniformly random adoptions, the expected value of 1 - Geary's C is 0.

(a) Static clustering of adopters

TABLE 4
Policy diffusion predictors by decade

Dep. var.: Policy adoption (logit)	(1) 50-60s	(2) 70s	(3) 80s	(4) 90s	(5) 00s	(6) 10s	(7) 00-10s-80-90s
Measure of adoption among other states closest in:							Diff. <i>p</i> -value
Demographic and economic index	0.33 (0.14)	0.15 (0.09)	0.23 (0.06)	0.28 (0.06)	0.26 (0.07)	0.20 (0.08)	0.79
Distance	0.28 (0.12)	0.36 (0.08)	0.16 (0.07)	0.28 (0.06)	0.21 (0.05)	0.42 (0.08)	0.50
Republican vote-share	0.28 (0.21)	0.10 (0.06)	0.07 (0.06)	0.24 (0.05)	0.46 (0.05)	0.48 (0.08)	0.00
State gvnt. partisanship	-0.19 (0.19)	0.12 (0.11)	0.23 (0.08)	0.17 (0.07)	0.40 (0.09)	0.64 (0.11)	0.00
State gvnt. partisanship × Divided gvnt.	0.38 (0.45)	-0.40 (0.25)	-0.30 (0.17)	-0.07 (0.15)	-0.41 (0.15)	-0.90 (0.19)	0.00
Baseline <i>P</i> (Adopt)	0.03	0.03	0.03	0.05	0.05	0.05	
Observations	50,804	44,434	65,585	79,695	58,881	28,104	
Policies	138	167	238	333	286	167	
Pseudo <i>R</i> ²	0.21	0.13	0.14	0.20	0.18	0.19	

Notes: This table shows the coefficients from a logit regression. Standard errors are clustered by state. The baseline hazard for each policy is parametrized by policy fixed effects for each decade. The closest states are defined as the third of all the states with the smallest absolute value difference in each characteristic. The difference in the demographic and economic index is calculated by first standardizing the 2-year moving averages of log population, urban %, log income per capita, % employed in the agricultural sector, and % employed in the manufacturing sector across all states in each year, then taking the absolute difference in each of the five standardized demographic and economic variables, and finally averaging the five absolute standardized differences. The closest states in terms of distance are the third of states that have the smallest distance calculated using the centroid of the states. For Republican vote-share, the closest states are defined as the third with the smallest absolute difference in the vote-share for the Republican presidential candidate averaged over the most recent two elections. For state government partisanship, the closest states are defined as those with the same party control of state government (unified Republican, unified Democratic, or divided). We assign Nebraska, which has a unicameral nonpartisan state legislature, to the party of its governor. Alaska, Hawaii, and Washington D.C. are excluded from the analyses. The last year in the dataset is 2020, which is included in the 2010s decade. Only policies spanning at least 3 years with at least 5 adopters are included. Policies are weighted to keep the composition of keyword categories constant over time periods. All regressions include controls for: the proportion of states adopted, an indicator for divided state government, and standardized values of log population, income per capita, % urban, % employed in agriculture, % employed in manufacturing, and Republican vote-share (estimates are reported in Table A.6).

(b) Hazard model by decade

5.5 Figures 6–8: dynamics, speed, and simulated diffusion

Read:

- Figure 6 plots decade-by-decade coefficients and makes the timing of the shift visible: political vote-share and party control become important mainly after 2000.
- Figure 7 shows that adoption speed rises in the 2000s and 2010s, especially for policies reaching intermediate adoption levels within 10 years.
- Figure 8 simulates a policy introduced by California. Under 1990s coefficients, diffusion remains geographically and demographically connected to the West. Under 2010s coefficients, diffusion shifts more toward Democratic states nationally.

Interpretation: Figure 8 is especially useful because it translates regression coefficients into a spatial path. The same initial innovator, California, produces different predicted diffusion depending on the decade. That makes the institutional change concrete: the relevant neighborhood of a state changes from geographic neighbors to ideological allies.

Economic message: Information technology, national policy organizations, and party discipline may allow policy ideas to jump across geography. This can speed adoption but also reduce the role of local experimentation and local learning.

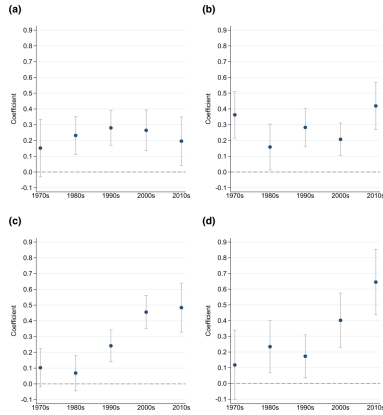


FIGURE 6
Dynamics of policy diffusion dimensions (a) demographic and economic index, (b) Distance, (c) Republican vote-share and (d) state party control
Notes: This figure plots the decade-by-decade estimates from Table 4 for the coefficients on the measure of adoption among the closest states in each dimension. The coefficient for the 1950-60s decade is not shown due to the scale of the confidence intervals. 95% confidence intervals are shown with standard errors clustered by state.

(a) Changing coefficients

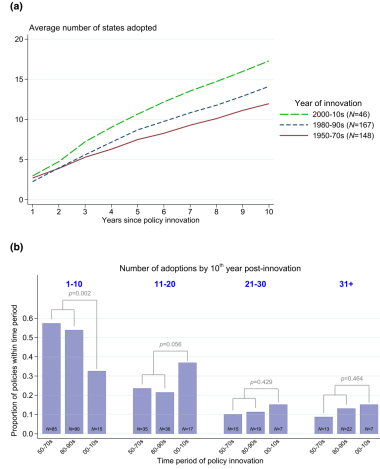


FIGURE 7
Speed of adoption (a) number of adoptions within first 10 years and (b) number of total adoptions by year 10
Notes: In Figure 7a and b, policies are grouped into time periods based on the year of innovation. Only policies that span at least 10 years are included. Figure 7a shows the average number of states that have adopted a policy over the first 10 years. Figure 7b shows the proportion of policies after 10 years that have 1-10, 11-20, 21-30, or more than 30 adoptions.

(b) Speed of diffusion

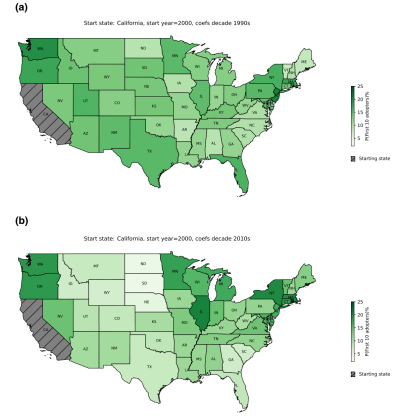


FIGURE 8
Simulated policy diffusion (a) coefficients from 1960s and (b) coefficients from 2010s
Notes: These maps show the probability of each state being among the first 10 adopters within 20 years after a policy is innovated by California in 2000, based on the model estimated in Table 4. Figure 8a uses estimated coefficients from the 1960s decade, and Figure 8b from the 2010s decade.

(c) Simulated California diffusion

5.6 Table 5: robustness and heterogeneity

Read:

- Table 5 reports robustness exercises for geographic and political diffusion patterns.
- It compares earlier decades with the 2000s–2010s and examines different policy cuts, including partisan-leaning policies, policies studied in economics papers, and within-area variation.
- The role of state government partisanship remains high in recent decades.
- The results continue to show that recent political diffusion is not only an artifact of one policy category or one coding choice.

Interpretation: This table addresses the main concern that the paper’s headline result is driven by changing sample composition. If the recent period simply contained more gun, election, or discrimination policies, then party diffusion would be less surprising. The within-category and robustness results show that the shift is broader.

Economic message: The polarization of diffusion is a system-wide change in state policy-making, not only a change in the topics economists or political scientists happened to study.

Distance			Republican vote-share			State govt. party control		
1950-70s	1980-90s	2000-10s	1950-70s	1980-90s	2000-10s	1950-70s	1980-90s	2000-10s
<i>Dep. var.: Policy adoption (logit)</i>								
Panel A. Alternate measures of political affiliation								
<i>Excluding Southern states (N_{pol}: 214, 357, 309)</i>								
0.38	0.22	0.16	0.03	0.15	0.36	0.05	0.05	0.63
(0.08)	(0.07)	(0.08)	(0.07)	(0.06)	(0.08)	(0.08)	(0.09)	(0.10)
<i>Holding political affiliation constant at 2000-10 levels (N_{pol}: 227, 369, 325)</i>								
0.31	0.22	0.26	0.23	0.39	0.09	0.07	0.51	
(0.05)	(0.06)	(0.05)	(0.06)	(0.04)	(0.05)	(0.06)	(0.06)	(0.06)
Panel B. Source of policy								
<i>NBER (N_{pol}: 14, 36, 39)</i>								
0.58	0.37	0.47	0.07	0.30	0.61	-0.56	0.05	0.56
(0.16)	(0.12)	(0.12)	(0.16)	(0.12)	(0.10)	(0.26)	(0.16)	(0.09)
<i>SPID (N_{pol}: 213, 339, 286)</i>								
0.35	0.24	0.22	0.09	0.15	0.41	0.12	0.11	0.53
(0.05)	(0.06)	(0.06)	(0.04)	(0.04)	(0.04)	(0.07)	(0.05)	(0.08)
Panel C. Policy area								
<i>Economics (N_{pol}: 38, 55, 42)</i>								
0.43	0.37	0.26	-0.01	0.14	0.38	0.43	0.15	0.44
(0.11)	(0.10)	(0.09)	(0.13)	(0.09)	(0.09)	(0.14)	(0.11)	(0.13)
<i>Non-economics (N_{pol}: 189, 314, 263)</i>								
0.35	0.22	0.26	0.11	0.18	0.46	0.00	0.11	0.58
(0.06)	(0.06)	(0.06)	(0.05)	(0.04)	(0.05)	(0.08)	(0.06)	(0.07)
Panel D. Vote-share								
<i>Third of states with highest Republican vote-share (N_{pol}: 227, 369, 325)</i>								
0.45	0.23	0.30	0.08	0.26	0.59	0.05	0.11	0.68
(0.08)	(0.11)	(0.08)	(0.11)	(0.09)	(0.11)	(0.11)	(0.09)	(0.12)
<i>Third of states with highest Democratic vote-share (N_{pol}: 227, 369, 325)</i>								
0.29	0.26	0.20	0.11	0.16	0.49	0.09	0.13	0.45
(0.09)	(0.06)	(0.09)	(0.09)	(0.08)	(0.10)	(0.08)	(0.07)	(0.10)

(continued)

(a) Robustness, panel A

Distance			Republican vote-share			State govt. party control		
1950-70s	1980-90s	2000-10s	1950-70s	1980-90s	2000-10s	1950-70s	1980-90s	2000-10s
<i>Dep. var.: Policy adoption (logit)</i>								
Panel E. Policy effectiveness from NBER papers								
<i>NBER policies with null, negative, or mixed effects in papers (N_{pol}: 12, 18)</i>								
0.83	0.47		0.59	0.72		-0.12	0.62	
(0.16)	(0.15)		(0.18)	(0.14)		(0.29)	(0.15)	
<i>NBER policies with positive effects in papers (N_{pol}: 19, 19)</i>								
0.32	0.58		0.05	0.53		-0.15	0.59	
(0.13)	(0.15)		(0.11)	(0.13)		(0.14)	(0.12)	
Panel F. Analysis within keyword categories (N_{pol}: 229, 374, 328)								
0.33	0.23	0.29	0.16	0.23	0.42	-0.09	0.00	0.48
(0.06)	(0.06)	(0.05)	(0.05)	(0.04)	(0.05)	(0.06)	(0.05)	(0.06)

Notes: This table predicts the diffusion of policies along geographic and political lines across various cuts and modifications of the main sample. For each analysis and time period (1950-70s, 1980-90s, and 2000-10s), a parsimonious diffusion model is estimated, which includes only (i) policy fixed effects, (ii) the proportion of adopters in all states, and the measure of adoption among the closest third of states in (iii) a demographic and economic index combining population, income per capita, urban %, and share of employment in the manufacturing and agricultural sectors (see notes in Table 4 for details), (iv) geography, (v) Republican vote-share in the most recent presidential election, and (vi) state government party control (unified Democratic, unified Republican, or divided). The table shows coefficients on (iv), (v), and (vi) from the logit regression with standard errors clustered by state below in parentheses. The *p*-value-*R*² and number of policies are reported in parentheses in chronological order corresponding to the three time periods. In Panels A-E, policies are weighted to keep the composition of keyword categories constant over time periods.

Panel A contains two robustness checks for the diffusion of policies along political lines. The first excludes states in the South census region (TX, OK, AR, LA, MS, AL, GA, FL, TN, SC, NC, KY, VA, WV, MD, and DE). Measures of the closest third are reweighted accordingly. The second calculates the average vote-share and state party control over 2000-10s, and holds constant which states are in the politically closest third states according to the 2000-10s averages across all time periods. In Panel B, the model is estimated separately for policies in NBER working papers and the SPID data set. In Panel C, the results are reported separately for policies in the “Economics” policy area and all other policies. In Panel D, the states are first partitioned into third each year based on Republican vote-share in the most recent presidential election. The coefficients are then allowed to differ and reported separately for each third. Panel E shows the diffusion estimates of policies studied in NBER papers, separately for policies that were found to have null, negative, or mixed effects in the papers and for those that were found to have positive effects. The direction of the policy outcome is normalized such that a “positive” effect indicates a desirable impact. For example, if a paper finds that a policy led to an increase in homicides, then that policy is categorized as having a negative effect, even though it had a “positive” effect on homicides. See Table A.2b for the categorization of effective policies. The 1950-90s decades are grouped together due to a low number of observations in the 1950-70s time period. Panel F pools all time periods and estimates the average diffusion along each dimension for each time period, with the 1950-70s as the omitted base period, while interacting the diffusion along each dimension with an indicator for each keyword policy category from Table 1. Policy category by time period fixed effects are included, as well as the interaction terms for the proportion of adopters with an indicator for each time period. The estimates for the 1950-70s base period are from a separate specification without the interactions with each keyword policy category along each dimension. The coefficients for the subsequent 1980-90s and 2000-10s periods are the average diffusion along each dimension in that time period (controlling for the diffusion patterns for each keyword policy category) added to the diffusion along that dimension in the base 1950-70s period.

(b) Robustness, panel B

5.7 Table 6: voter preferences, migration, and diffusion mechanisms

Read:

- Table 6 adds measures of migration flows, voter policy preferences, and public-opinion indexes.
- These variables predict diffusion and reduce the roles of geography, demographics, and vote-share.
- However, state government partisanship remains strongly predictive, especially in recent decades.

Interpretation: This table is important because it separates voter ideology from party organization. Voters in similar states do want similar policies, and people moving between states may transmit information. But party control still has an independent predictive role, suggesting that the 2000s–2010s change is not fully explained by voters becoming more sorted.

Economic message: Party institutions increasingly act as a diffusion technology. They transmit policy ideas, legislative templates, and political priorities across states with the same governing party.

TABLE 6
Models of policy diffusion: role of migration and voter preferences

Dep. var.: Policy adoption (logit)	(1) 60–70s	(2) 80–90s	(3) 00–10s	(4) 60–70s	(5) 80–90s	(6) 00–10s
Measure of adoption among other states closest in:						
Demographic and economic index	0.38 (0.09)	0.22 (0.06)	0.27 (0.07)	0.30 (0.09)	0.13 (0.06)	0.17 (0.07)
Distance	0.31 (0.08)	0.26 (0.07)	0.22 (0.07)	0.17 (0.12)	0.16 (0.08)	0.09 (0.07)
Republican vote-share	0.14 (0.05)	0.15 (0.04)	0.41 (0.05)	0.11 (0.05)	0.11 (0.04)	0.29 (0.06)
State gvnt. partisanship	0.14 (0.13)	0.10 (0.06)	0.58 (0.09)	0.13 (0.13)	0.11 (0.06)	0.55 (0.09)
State gvnt. partisanship×Divided gvnt.	−0.38 (0.26)	0.01 (0.13)	−0.70 (0.15)	−0.40 (0.25)	−0.03 (0.13)	−0.63 (0.14)
Migration flows				0.16 (0.15)	0.05 (0.09)	0.23 (0.09)
Voter preferences (ANES & GSS)				0.20 (0.11)	0.28 (0.09)	0.23 (0.08)
Index of public opinion measures				0.14 (0.06)	0.15 (0.04)	0.19 (0.05)
Observations	51,192	102,544	61,250	51,192	102,544	61,250
Policies	196	364	310	196	364	310
Pseudo R^2	0.15	0.17	0.17	0.16	0.17	0.18

Notes: This table shows the correlation in policy adoption among states that are closer in demographics, economics, distance, Republican vote-share, state government partisanship, migration flows, voter preferences stated on ANES and GSS surveys, and an index of public opinion measures from political science. See Table 4 for the definition of the states closest in the demographic and economic index, distance, Republican vote-share, and state government partisanship. All regressions include the proportion of states that have adopted the policy so far as well as an indicator for divided state governments (coefficients not reported). For migration flows, the closest states are defined as the third with the highest sum of in- and out-migration. For voter preferences, the closest states are those with the smallest average difference in standardized responses on ANES and GSS questions regarding policy preferences. 15 states are excluded as they do not have sufficient representation to measure voter preferences in the ANES and GSS surveys (see [Supplementary Appendix Section C](#)). For the index of public opinion measures, we standardize the Berry et al. (1998) revised 1960–2016 citizen ideology series, the Lagodny et al. (2022) state-level public policy mood measure, and the Caughey and Warshaw (2017) mass social and economic liberalism scores in each year, and average the absolute differences between each pair of states. The closest states are defined as the third with the smallest average difference. Each column reports a separate logit regression within the time period indicated in the header. Policy-by-decade fixed effects are included as the baseline hazard rate for each policy. Policies are weighted to keep the composition of keyword categories constant over time periods. Standard errors clustered by states are in parentheses.

Table 6: Mechanism controls for migration and voter preferences

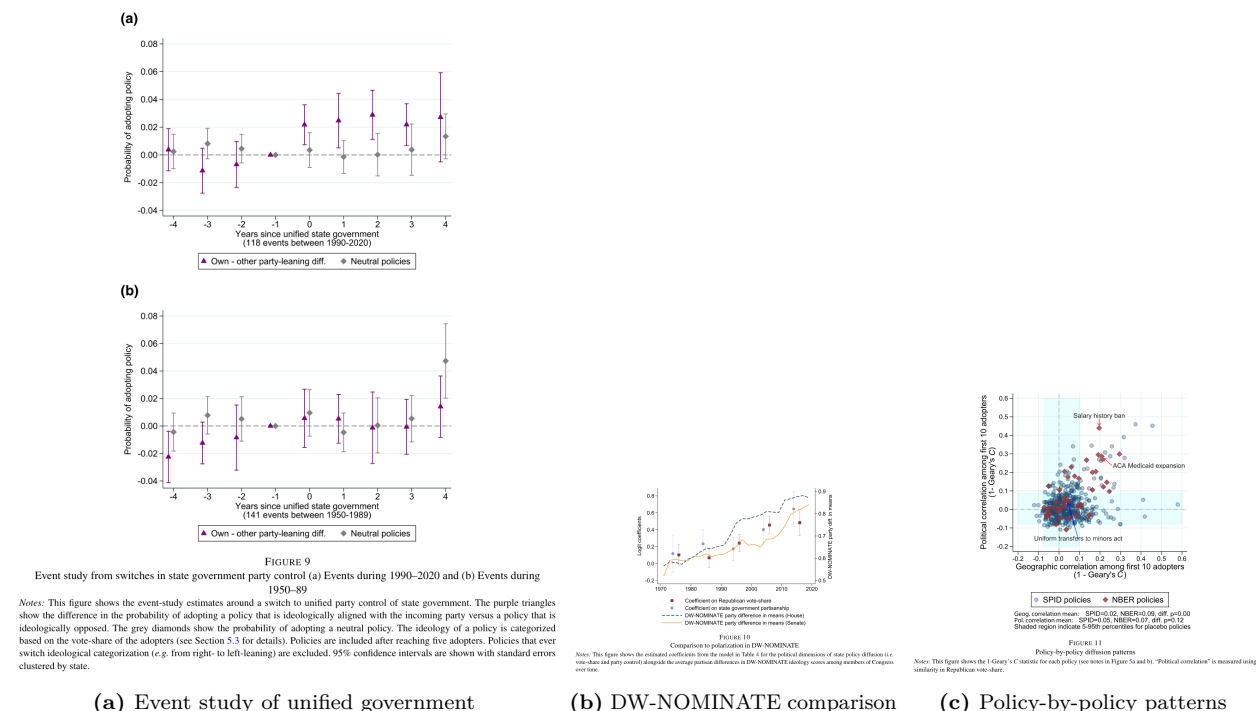
5.8 Figures 9–11: party-control events and comparison with national polarization

Read:

- Figure 9 shows that switches to unified party control raise adoption of policies aligned with the incoming governing party by about two percentage points in the post-1990 period.
- The same event-study pattern is absent in 1950–1989.
- Figure 10 compares state policy diffusion polarization to polarization in congressional DW-NOMINATE scores.
- Figure 11 shows policy-by-policy diffusion patterns, illustrating that many policies have become more politically clustered.

Interpretation: Figure 9 is the strongest evidence that party control is not merely a passive descriptor of similar states. Political regime change itself shifts the probability of adopting ideologically aligned policies. Figures 10 and 11 then connect this state-level pattern to the broader national trend in polarization.

Economic message: State-level policy-making now shares a core feature of national politics: stronger sorting by party. This implies that even decentralized policy systems can become nationally coordinated through party networks.



6 Short summary

- The paper studies 602 state policies over seven decades.
- Policy innovation is not strongly predicted by state capacity measures.
- Since 1990, state political leaning predicts whether a state innovates right- or left-leaning laws.
- From 1950 to 2000, diffusion is best predicted by geography and some demographic/economic similarity.
- Since 2000, adoption by politically aligned states becomes a much stronger predictor.
- Similarity in Republican vote-share becomes important in the 2000s and 2010s.
- Same-party state government control becomes the strongest recent predictor for unified governments.
- Policy diffusion has become faster in the last two decades.
- Voter preferences and migration flows explain part, but not all, of the patterns.
- Event studies show that unified party control raises adoption of ideologically aligned laws in recent decades.
- The historical laboratory-of-democracy view still captures some earlier diffusion patterns, but recent policy diffusion increasingly follows party lines.

7 Expanded conclusion

7.1 Core conclusion

DellaVigna and Kim document a major transformation in U.S. state policy diffusion. Earlier in the postwar period, state policies spread mainly through geographic, demographic, and economic proximity. In recent decades, policies spread increasingly through political alignment and state party control. The paper’s central finding is not that geography has become irrelevant, but that party control has become large enough to dominate the diffusion process for many policies.

7.2 What the paper changes conceptually

The classic federalism narrative views states as laboratories of democracy. In that view, nearby states observe each other, learn from each other’s experiments, and adopt policies that fit local conditions. This paper shows that this view is historically incomplete. It may describe much of the earlier diffusion process, but the last two decades look different. The modern diffusion process is less about nearby experiments and more about national party networks transmitting policies across ideologically aligned states.

7.3 Interpretation for policy evaluation

The paper has important implications for empirical work that uses staggered policy adoption. If modern policies spread through party control, then adoption timing may be correlated with unobserved political, cultural, and institutional trends. Difference-in-differences designs should therefore pay close attention to political alignment, nearby adopters, voter ideology, and state-government control. The paper does not say such designs are invalid, but it shows that adoption is rarely random and increasingly politically patterned.

7.4 Interpretation for welfare and representation

The recent Medicaid example illustrates a broader welfare concern. When adoption follows party lines, a policy may spread to states where the governing coalition prefers it rather than where the population needs it most. This can worsen the match between state policy and voter preferences or population characteristics. The problem is not merely polarization as disagreement; it is polarization as a mechanism that can detach policy diffusion from local conditions.

7.5 Interpretation for political economy

The results suggest that parties are increasingly important organizations in subnational policy markets. Parties can reduce search costs, transmit model legislation, coordinate priorities, and accelerate diffusion. These same features can be productive if they spread good policies quickly, but they can be harmful if they spread policies for partisan reasons without enough local learning.

7.6 Policy implications

The paper does not prescribe a simple institutional fix, but it highlights several policy-relevant lessons:

- Transparency about model legislation and interstate policy networks would help citizens understand why policies appear in their states.
- Policy evaluation should be communicated across party lines, because evidence alone may not diffuse if the political channel is polarized.
- Federal incentives can interact with state partisanship; generous subsidies may still fail to induce adoption if party opposition dominates local benefits.
- State-level deliberation mechanisms that emphasize local costs, benefits, and voter preferences may help counteract purely partisan replication.

7.7 Research agenda

Future research can build on this paper in several directions. First, researchers can link diffusion paths to actual policy text to distinguish copying from independent adoption. Second, researchers can study the organizations that transmit policies, such as parties, governors' associations, advocacy groups, and model-legislation networks. Third, researchers can estimate welfare effects by combining diffusion data with policy impact estimates. Fourth, researchers can examine whether partisan diffusion improves or worsens policy quality depending on whether the policy is technical, redistributive, symbolic, or electorally salient.

7.8 Bottom-line takeaway

The paper's deepest message is that policy diffusion is itself a political-economic object. States do not only learn from nearby states; they increasingly learn from, imitate, and coordinate with politically aligned states. That shift changes how economists should think about federalism, policy evaluation, polarization, and the representativeness of state policy choices.